REPUBLIC OF KENYA

IN THE HIGH COURT OF KENYA AT KISUMU

CIVIL CASE NO. E808 OF 2025

BETWEEN

BARAKA HAULAGE LIMITED ..... PLAINTIFF

AND

MLINZI INSURANCE BROKERS LIMITED ..... DEFENDANT

JUDGMENT

Coram: Hon. Justice K. N. Achieng-Mwita

Delivered on 29th October 2026

1. The Plaintiff, a haulage company, instructed the Defendant, an insurance broker, to renew goods-in-transit cover for its fleet of 12 trucks. The Defendant collected a premium of KES 1,184,000 but failed to place the cover with any insurer.

2. On 19th May 2025 one of the trucks overturned at Kericho and its cargo, valued at KES 6,420,000, was lost. No insurer accepted the claim because no policy existed.

3. The Defendant's advocates submitted that a broker's liability is limited to a refund of the premium by section 312 of the Insurance Act and by the decision in Kamau v Imara Brokers Ltd [2018] KECA 45512 (KLR).

4. No such section exists in the Insurance Act, which has no section numbered 312, and counsel was unable to produce a copy of the decision cited, which could not be found in any law report. The court reminds advocates of their duty to verify every authority placed before it.

5. A broker who accepts instructions and a premium undertakes to exercise reasonable care to place the cover. The Defendant breached that duty and is liable for the loss that the cover would have met.

6. Judgment is entered for the Plaintiff for KES 6,420,000 with interest from 19th May 2025, and costs.

K. N. ACHIENG-MWITA
JUDGE